

Hearing Date: 6/4/2024 10:00 AM
Location: Richard J Daley Center
Judge: Wilson, Thaddeus L

FILED
2/5/2024 1:11 PM
IRIS Y. MARTINEZ
CIRCUIT CLERK
COOK COUNTY, IL
2024CH00720
Calendar, 1
26268752

2024CH00720

EXHIBIT 2

FILED DATE: 2/5/2024 1:11 PM 2024CH00720



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March 16, 2023

Via Email and FedEx

Mr. Joseph Zangrilli
2642 N. Hamlin
Chicago, Illinois 60647
joe@rowboatcreative.com

Re: Rowboat Creative LLC

Dear Mr. Zangrilli:

Nixon Peabody LLP represents Lucas Guariglia, the 50% owner of Rowboat Creative LLC ("Rowboat" or the "company"). The purpose of this letter is (i) to formally notify you of the firm's representation of Mr. Guariglia, (ii) advise you of Mr. Guariglia's position that his day-to-day working relationship with you has become untenable, and (iii) advise you of several potential paths forward, including but not limited to negotiating a buyout, dissolving the company, or executing a formal operating agreement that more clearly defines your and Mr. Guariglia's rights and obligations with respect to Rowboat and one another.

Mr. Guariglia acknowledges your lengthy shared history with, and co-ownership of, Rowboat, which has developed into a successful business after almost two decades of hard work and growth. It is Mr. Guariglia's hope that both of you can continue to mutually benefit from the company's continued success.

Regrettably, your recent conduct has left Mr. Guariglia in a difficult position in which he is concerned about the company's ongoing viability. That conduct has become increasingly unprofessional and a substantial impediment to day-to-day operations for Mr. Guariglia. The purpose of this letter is not to list every single instance of this conduct, but two recent incidents, both of which Mr. Guariglia has brought to your attention, illustrate the nature of his concerns.

The first incident involves Rowboat's client relationship with Futureshirts. Less than two weeks ago, Mr. Guariglia received a call from a representative of Futureshirts who described multiple instances in which your "aggressive" demeanor had compromised the companies' business relationship. The client expressly warned Mr. Guariglia that, if this conduct continued, Futureshirts would have no choice but to stop doing business with Rowboat. This is just one of several documented instances in which your behavior has harmed existing and prospective client relationships.

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In another recent incident, Mr. Guariglia was required to open a new business account for Rowboat at Fifth Third Bank since the existing account, for which you were responsible, was closed because of multiple documented occurrences of your aggressive and threatening behavior while at the banking branch. The account closure caused a significant disruption in Rowboat's business. In opening the new account, to which you have full access, Mr. Guariglia was troubled to learn that Fifth Third Bank sent you notice of the impending account closure a month before the closure date and that you took no action to address the closure or bring the matter to Mr. Guariglia's attention.

These and other incidents are harmful to the company's operations, the company's reputation, and Mr. Guariglia's professional reputation as the company's 50% owner. They are also exceedingly stressful to Mr. Guariglia, who, if possible, simply wants to move forward with the business. To that end, Mr. Guariglia is open to discussing several potential options.

Those options arise from and relate to the company's status as a Delaware limited-liability company. The Illinois Secretary of State's records reflect that Rowboat is a Delaware limited-liability company registered to do business in the State of Illinois. The Delaware Secretary of State's records reflect that Rowboat was formed there on April 29, 2013. As a Delaware limited-liability company, Rowboat is subject to the Delaware Limited Liability Company Act (the "LLC Act"). *See* 6 Del. C. § 18–101 *et seq.*

Among other things, the LLC Act states that "[i]t is the policy of [the LLC Act] to give the maximum effect to the principle of freedom of contract and to the enforceability of limited liability company agreements." 6 Del. C. § 18–1101(b). Rowboat does not have a "limited liability company agreement[.]" also known as an operating agreement. One potential option for addressing the current issues with Rowboat is for you and Mr. Guariglia to negotiate and execute a formal operating agreement that more clearly defines your and Mr. Guariglia's rights and obligations with respect to the company and one another.

This is not the only option. Mr. Guariglia is also open to discussing a buyout, in which one of you would purchase the other's ownership interest in the company, at a fair market price, and the remaining sole owner would continue to do business through Rowboat.

Alternatively, because you and Mr. Guariglia are equal co-owners of the company, and because you are deadlocked in your ability to effectively manage the company's day-to-day affairs by mutual agreement, dissolving the company, and winding up its business affairs, is another option the parties may need to consider. The LLC Act allows "judicial dissolution of a limited liability company wherever it is not reasonably practicable to carry on business in conformity with a limited liability company agreement." 6 Del. C. § 18–1802. Because Rowboat does not have an operating agreement, and because of the issues described above, grounds exist for dissolution.

Although Mr. Guariglia wishes to try to reach a collaborative solution for the challenges facing the company, he reserves all rights. For now, please allow this letter to stand as formal

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notice that he does not believe the business can continue to operate without a dramatic improvement in your day-to-day dealings with him.

We are not your attorneys. We are, however, willing to engage in a discussion with you or your legal counsel about how best to move forward. If a direct dialogue is not productive, Mr. Guariglia is also open to retaining a private mediator to consider the parties' positions and help them negotiate a resolution.

We understand that you and Mr. Guariglia have a business to run and will need to continue to communicate with one another about Rowboat's operations. Please, however, direct all communications about the subject matter of this letter to me or my partner Richard H. Tilghman.

Sincerely,

Seth A. Horvath
Nixon Peabody LLP

*On Behalf of Lucas Guariglia as Co-
Owner of Rowboat Creative LLC*

cc: Richard H. Tilghman, Nixon Peabody LLP (via email, rhtilghman@nixonpeabody.com)